SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Every company registered in Hong Kong must have its financial statements audited annually by auditors registered under the Professional Accountants Ordinance (PAO). For F & B Limited, a newly incorporated private company, the first set of audited financial statements should be laid before shareholders at the annual general meeting (AGM) within 9 months after its financial year-end. Subsequent AGMs should be held not more than 15 months apart. There is no mandatory year-end date for Hong Kong companies, but 31 March and 31 December are the most common ones.

(Other relevant points)

Answer 1(b)

The remaining four components of internal control are:

1. Control environment

2. The entity's risk assessment process

3. The entity's process for monitoring the system of internal control

4. The information system and communication

Answer 1(c)

According to HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*, the auditor shall obtain an understanding of the control activities component, through performing risk assessment procedures, by:

(a) Identifying controls that address risks of material misstatement at the assertion level in the control activities component as follows:

(i) Controls that address a risk that is determined to be a significant risk;

(ii) Controls over journal entries, including nonstandard journal entries used to record nonrecurring, unusual transactions or adjustments;

(iii) Controls for which the auditor plans to test operating effectiveness in determining the nature, timing and extent of substantive testing, which shall include controls that address risks for which substantive procedures alone do not provide sufficient appropriate audit evidence; and

(iv) Other controls that the auditor considers are appropriate for enabling the auditor to meet the objectives of obtaining audit evidence that provides an appropriate basis for the identification and assessment of risks of material misstatement, whether due to fraud or error, with respect to risks at the assertion level, based on the auditor's professional judgements.

(b) Based on controls identified in (a), identifying the IT applications and the other aspects of the entity's IT environment that are subject to risks arising from the use of IT;

(c) For such IT applications and other aspects of the IT environment identified in (b), identifying:

(i) The related risks arising from the use of IT; and

(ii) The entity's general IT controls that address such risks;

(d) For each control identified in (a) or (c)(ii):

(i) Evaluating whether the control is designed effectively to address the risk of material misstatement at the assertion level, or effectively designed to support the operation of other controls; and

(ii) Determining whether the control has been implemented by performing procedures in addition to inquiry of the entity's personnel.

Answer 1(d)

The audit risk model: Audit risk = Inherent risk X Control risk X Detection risk

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated.

Audit risk is a function of the risks of material misstatement at assertion level and detection risk.

Risks of material misstatement at assertion level consists of inherent risk and control risk.

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Control risk is the risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

Answer 1(e)

If, as tested by the auditor, F & B Limited has an effective internal control system over the sales cycle, the control risk is reduced.

Therefore, the auditor can accept a relatively higher level of detection risk by performing less substantive procedures.

Answer 2(a)

Internal auditors undertake examinations and reviews of the activities of the entity as a service to the entity's management. They may be internal company employees or third-party service-provider. Internal auditors generate reports for the use of management. They conduct a number of smaller focused internal audits throughout the year. In the context of financial statement auditing, the internal audit function is generally regarded as part of the internal control system that assists the management of an entity in preparing reliable financial statements.

External auditors are independent of the entity being audited and are appointed to express an opinion on a selected subject matter. In the context of financial statement audit, an auditor appointed under the Companies Ordinance (Chapter 622) is to report to shareholders on the company's financial statements.

Answer 2(b)

The following are five elements of an assurance engagement:

A three-party relationship involving a practitioner, a responsible party, and intended users
For audits under the Companies Ordinance, there will be the company directors (responsible party), the existing and potential investors, lenders and other creditors (intended users of the financial statements), and the auditor (assurance practitioner) appointed by, and reporting to, the shareholders.

An appropriate underlying subject matter
Financial statements showing the entity's financial position, financial performance and cash flows will be the subject matter and will provide information.

Suitable criteria
The criteria will come from the applicable financial reporting framework relevant to the entity and its business. For example, they will come from the Hong Kong Financial Reporting Standards and Regulations that are to be complied with in preparing the financial statements under the Companies Ordinance.

Sufficient appropriate evidence
The audit principles and procedures applied by the auditor in accordance with auditing standards will allow the auditor to obtain sufficient appropriate audit evidence as to whether the financial statements are prepared in accordance with the applicable financial reporting framework.

A written assurance report
The auditor's written conclusion/ opinion will be provided in the auditor's report on whether the financial statements have been prepared in accordance with the applicable financial reporting framework.

Answer 2(c)

Three factors to be evaluated by the external auditor:

The extent to which the internal audit function's organisational status and relevant policies and procedures support the objectivity of the internal auditors.

The level of competence of the internal audit function.

Whether the internal audit function applies a systematic and disciplined approach, including quality control.

Answer 3(a)

The remaining six types of audit procedures are:

Inspection
Inspection involves examining records or documents, both internal and external, in paper form or electronic form, or other media, or the physical inspection of an asset.

Observation
Observation consists of looking at a process or procedure being performed by others, such as the auditor's observation of the inventory count or the performance of a control activity.

External confirmation
An external confirmation represents audit evidence obtained by the auditor as a direct written response to the auditor from a third party, in paper form or by electronic or other medium.

Recalculation
Recalculation consists of checking the mathematical accuracy of documents or records. Recalculation may be performed electronically or manually.

Reperformance
Reperformance involves the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control.

Inquiry
Inquiry involves seeking information from knowledgeable persons within the entity. This can include both management and other relevant individuals.

Answer 3(b)

According to HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*, the risk assessment procedures shall include analytical procedures.

Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware and may assist in assessing the risks of material misstatement in order to provide a basis for designing and implementing responses to assessed risk.

Analytical procedures may help identify the existence of unusual transaction or events, and amounts, ratios, and trends that might indicated matters that have audit implications.

Answer 3(c)

Three factors for auditors' consideration when designing and performing analytical procedures as substantive procedures:

The suitability of using substantive analytical procedures given the assertions.

The reliability of the data, whether internal or external, from which the expectation of recorded amounts or ratios is developed.

Whether the expectation of recorded amounts or ratios is sufficiently precise to identify a material misstatement at the desired level of assurance.

The amount of any difference of recorded amounts from expected values that is acceptable.

Answer 3(d)

Three analytical procedures that can be used to identify possible sources of misstatements in company's expenses:

Comparing expenses for each category with the same category in the prior year and investigating any significant fluctuations.

Comparing expenses against the company's budget and investigating any significant fluctuations.

Calculating the operating profit margin and comparing to the prior year and investigating any significant differences.

Calculating the gross profit margin and comparing to the prior year to identify any possible misstatement of purchases and overhead expenses.

Answer 4(a)

Under the going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future. General purpose financial statements are prepared using the going concern basis of accounting, unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so. When the use of the going concern basis of accounting is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realise its assets and discharge its liabilities in the normal course of business.

Answer 4(b)

Four possible procedures for evaluating management's assessment:

Obtain the budgets and forecasts prepared by management, and analyse the underlying assumptions and appropriateness of their use.

Obtain and inquire of management's plans and minutes supporting changes to operating strategies and plans, and evaluate whether the management's assumptions are reasonable.

Consider obtaining written agreement from creditors or financiers stating that they will not call back what is owed to them for at least 12 months from the date of the financial statements.

Obtain proof of support from related parties that they can underwrite any payments of debts as and when they fall due for 12 months from the date of the financial statements.

Determine if management can obtain further funding from creditable financiers by reviewing new agreements of funding.

Answer 4(c)

An emphasis of matter paragraph represents a paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

Answer 4(d)

Three types of modified opinion: namely, a qualified opinion, an adverse opinion, and a disclaimer of opinion.

Answer 4(e)

Qualified opinion shall be expressed in the case that the auditor has obtained sufficient appropriate audit evidence and concludes that the financial statements are materially misstated, and the misstatements are material but not pervasive to the financial statements.

By contrast, adverse opinion or disclaimer of opinion is associated with financial statements that the misstatements are material and pervasive, whereas adverse opinion refers to auditors' ability to obtain sufficient appropriate audit evidence and disclaimer of opinion refers to auditors' inability to obtain sufficient appropriate audit evidence.

The auditor shall disclaim an opinion when, in extremely rare circumstances involving multiple uncertainties, the auditor concludes that, notwithstanding having obtained sufficient appropriate audit evidence regarding each of the individual uncertainties, it is not possible to form an opinion on the financial statements due to the potential interaction of the uncertainties and their possible cumulative effect on the financial statements.

Answer 4(f)

The validity of the going concern assumption on which the financial statements have been prepared depends on the outcome of the measures carried out by the management of GRL. The auditor is unable to obtain additional sufficient appropriate audit evidence to substantiate the validity of the going concern assumption.

To determine the type of auditor's opinion, we need to consider whether the misstatements are material and pervasive. The misstatements of an overstatement of assets, understatement of liabilities, misclassification of assets and liabilities, or understatement of the loss of GRL could influence the economic decisions of users taken on the basis of the financial statements.

The effects of the misstatement are material and pervasive since the going concern assumption affects the financial statements as a whole instead of just a particular item.

A disclaimer of opinion is appropriate for the financial statements of GRL for the year ended 31 December 2022.

* * * END OF EXAMINATION PAPER * * *